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Consultation Paper – Minimum Tax for Discretionary Trusts

On 8 July 2026, Federal Treasury released a consultation paper on the implementation of the 30% minimum tax on discretionary trusts, which was announced as part of the 2026-27 Federal Budget. The consultation paper also seeks feedback on the announced but unenacted measure from the 2018-19 Federal Budget to bring unpaid present entitlements from a trust to a corporate beneficiary within the ambit of Division 7A.

Key points to note in relation to the consultation paper are as follows:

- From 1 July 2028, it is proposed that the trustee of a discretionary trust will pay a minimum 30% tax on the trust's net (tax) income. The tax paid will give rise to a non-refundable tax offset for eligible non-corporate beneficiaries. This means that although the trustee of a discretionary trust can continue to decide each year which eligible beneficiaries are presently entitled to trust income (and hence subject to tax on their proportionate share of net (tax) income of the trust), there will be a minimum 30% tax impost on the net (tax) income, which will be applied at the trust level.

  This minimum tax will apply irrespective of the effective tax rate of the eligible beneficiaries that are presently entitled to the trust income for the year. For example, assume a trust has $200,000 of net (tax) income in FY29 and distributes all its trust income to an individual resident beneficiary with no other taxable income. Minimum tax of $60,000 will be payable by the trustee of the trust, and the remaining $140,000 will be distributed to the beneficiary with a $60,000 non-refundable tax offset. The individual beneficiary will have a tax liability of $55,602 on such income and will be able to claim $55,602 of the $60,000 non-refundable tax offset. The offset will not be able to be used to reduce the $4,000 Medicare levy. Hence, the remaining $4,398 of the offset will not be refundable or able to be carried forward.

  The minimum tax will also apply where the beneficiary is a charity or tax-exempt entity, though the consultation paper seeks feedback on distributions to such beneficiaries given the non-refundable nature of the tax offset arising from the minimum tax would mean such charities and tax-exempt entities would indirectly be subject to tax on such income.

- The minimum 30% tax only applies to discretionary trusts, which is defined in the law to mean any trust that is not a 'fixed trust'. This is a vexed matter, and the consultation paper acknowledges that the concept of a discretionary trust can be broader than intended for the purposes of the minimum 30% tax. Therefore, the consultation paper has sought feedback on how to best define a discretionary trust for the purposes of the proposed new law.

- The minimum 30% tax will not apply to fixed trusts, widely held trusts, complying superannuation funds, special disability trusts, deceased estates and charitable trusts. Further, primary production income earned by a discretionary trust will be excluded from the minimum tax.

- Consistent with the Treasury announcement on 18 June 2026, discretionary testamentary trusts will be exempt from the minimum tax provided (1) they were established for genuine testamentary purposes; (2) trusts established on or after 1 July 2028 can only benefit individuals and tax-exempt entities; and (3) income of the testamentary trust is only from assets of the relevant deceased estate (meaning that income from assets injected after 12 May 2026 unrelated to the deceased estate are subject to the minimum tax).

- Corporate beneficiaries of a discretionary trust will not be entitled to any non-refundable tax offset for the minimum 30% tax. The consultation paper notes that allowing companies to access the non-refundable offset would allow them to effectively convert such non-refundable offsets into a refundable franking credit offset, which could then be passed on and refunded to non-corporate shareholders (including shareholders that are eligible beneficiaries of the relevant trust).

  For example, assume a trust has $200,000 of net (tax) income in FY29 and distributes all its trust income to a corporate beneficiary. Minimum tax of $60,000 will be payable by the trustee of the trust, and the remaining $140,000 will be distributed to the corporate beneficiary. The company will then also be subject to tax on $200,000, resulting in another $60,000 tax liability – there is no offset available for the trustee minimum tax paid and it seems that the taxable income of the company will also not be reduced by the minimum tax paid. Hence, an effective tax rate of 60% arises on distributions by the discretionary trust to a corporate beneficiary.

  The consultation paper justifies the 'double tax' by noting that *'not allowing companies to access the minimum tax offset is the simplest mechanism to prevent the minimum tax being undermined by interposing a company between the trust and the ultimate beneficiary, without changing the imputation system'*.

- Trustees of discretionary trusts that receive franked dividends would be required to use the franking credits to offset their minimum tax and if any franking credits remain, the consultation paper suggests that the excess franking credits may be refunded to the trust or be carried forward for offset against future tax liabilities. Feedback is requested on these options.

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- Expanded roll-over relief is proposed for a three-year period from 1 July 2027 that would allow a discretionary trust to restructure into another entity such as a company or fixed trust without triggering CGT and other immediate tax consequences. Such roll-over relief would build on the existing Small Business Restructure Roll-Over but be available to all discretionary trusts in respect of all assets and would not require a "genuine restructure". Relief from any family trust distribution tax would also be available. Despite the availability of such roll-over relief for income tax purposes, the consultation paper does not provide any comment on interaction of such roll-over relief with State based taxes for which there may be no relief on a restructure.

- On 10 June 2026, a 5:2 majority of the High Court case in *Commissioner of Taxation v Bendel [2026] HCA 18* found that a company's failure or inaction to call for payment of an unpaid present entitlement ("UPE") owed to it by a trust is not, in itself, a loan for Division 7A purposes. In this respect, the consultation paper seeks feedback on how to implement the announced but unenacted measure from the 2018-19 Federal Budget to bring unpaid present entitlements within the ambit of Division 7A. Note, if income distributions from a discretionary trust to a corporate beneficiary are in fact 'double taxed' (refer above), then any such change may not have any effect from 1 July 2028 as corporate beneficiaries are unlikely to be presently entitled to any income from a discretionary trust from this date.

Though the consultation paper provides some helpful guidance on the intended operation of the minimum 30% tax on discretionary trusts, there remain many questions and issues that will need to be properly considered. The closing date for submissions on the consultation paper is 31 July 2026.

Foreign Resident CGT Bill Introduced

On 2 July 2026, the *Treasury Laws Amendment (Strengthening Accountability for Tax Adviser Misconduct and Other Measures) Bill 2026* (the "Bill") was introduced into Parliament. This Bill contains the proposed changes to the foreign resident CGT provisions in Division 855. Exposure draft legislation in relation to these proposed changes was first released on 10 April 2026 – please refer to the OTP Tax News & Insights from 15 April 2026 for further details.

The key points to note in relation to the Bill (compared to the exposure draft legislation) include:

- The definition of "real property" will no longer apply retrospectively (it was previously proposed for certain aspects of the revised definition to have retrospective effect to CGT events that occurred on or after 12 December 2006).

- There continues to remain no market value cost base reset for assets that are newly brought within the regime under the expanded definition. As such, gains that accrued prior to the change in law may be taxable at the time of a future realisation.

- The Minister may now determine an alternative testing time for the principal asset test in certain limited circumstances where non-residents do not have access to information to be able to apply the test for a full 365-day testing period.

- A "thing fixed or installed on land" no longer needs to be situated on land for the majority of its useful life in order to be within the ambit of "real property". This further broadens the definition of "real property" for the purposes of the test.

- For the purposes of the renewable energy discount, the definition of an "Australian renewable energy asset" has been expanded to include energy storage systems. Further, the threshold for indirect disposals has been reduced from 90% to 75%.

- There remains no change to the definition of "eligible investment business" for the purposes of the trading trust rules. In particular, assets within the ambit of "real property" under Division 855 are not necessarily "land" for trading trust purposes.

The Bill remains before the House of Representatives. The Bill may pass the House of Representatives and the Senate, and receive Royal Assent, before 30 September 2026, in which case the new law would be applicable from as early as 1 October 2026.

Payday Super – Maximum Contributions Base

Under the Payday Super rules, payroll systems must calculate and pay 12% on qualifying earnings on every single pay day (within 7 business days of that pay day). This must continue until the year-to-date earnings hit the Maximum Contributions Base ("MCB") of $270,830, at which point mandatory superannuation contributions may drop to zero for the rest of the financial year. This means that for employees with a total remuneration package of greater than the MCB, there can be less 'take-home' cash pay in early months of a year until the MCB cap is reached.

Contact

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